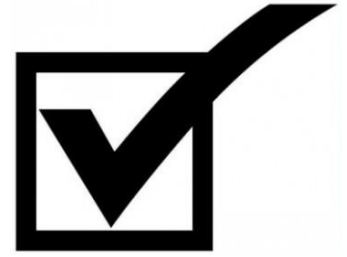




**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



ADVANCED COLLEGE ACCOUNTING (115) STATE 2024

CONCEPT KNOWLEDGE:

Multiple Choice (20 @ 2 points each) _____ (40 points)

APPLICATION KNOWLEDGE:

Short Answer: _____ (40 points)

Problem 1: (20 @ 2 points each) _____ (40 points)

Problem 2: (30 @ 2 points each) _____ (60 points)

Problem 3: (9 @ 5 points each) _____ (45 points)

TOTAL POINTS _____ ***(225 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice 20 at 2 points each

1	B	11	B
2	D	12	D
3	C	13	C
4	A	14	C
5	A	15	C
6	B	16	A
7	C	17	D
8	A	18	A
9	D	19	C
10	C	20	C

SHORT ANSWER

Short Answer #1 – (8 points, 2 points each)

Inventory Item	None or understated or overstated?
Beginning Inventory	None
Goods Available for Sale	None
Ending Inventory	Understated
Cost of Goods Sold	Overstated

Short Answer #2 – (8 points, 2 points each account and amount, no points for date)

Date	Accounts	Debit	Credit
Dec 31	Interest Expense	500	
	Interest Payable		500

Short Answer #3– (8 points, 2 points each account and amount, no points for date)

Date	Accounts	Debit	Credit
Dec 31	Unearned Revenue	7,750	
	Rent Revenue		7,750

Short Answer #4 – (8 points, 2 points each account and amount, no points for date)

Date	Accounts	Debit	Credit
Dec 31	Office Supplies Expense	22,500	
	Office Supplies		22,500

Short Answer #5 – (8 points, 2 points each)

Principal	Rate (%)	Time	Interest
\$54,000	11.9	2 months	\$1,071.00
\$184,500	7.75	58 days	\$2,303.69
\$2,500	6.25	90 days	\$39.06
\$750,000	13.35	9 months	\$75,093.75

PROBLEMS

Problem #1 – (40 points, 20 @ 2 points each amount and account; no points for date)

Date	Accounts	Debit	Credit
1/1/22	Machinery	470,000	
	Cash		470,000
12/31/22	Depreciation Expense	85,000	
	Accumulated Depreciation		85,000
7/1/23	Depreciation Expense	42,500	
	Accumulated Depreciation		42,500
7/1/23	Accumulated Depreciation	127,500	
	Cash	400,000	
	Machinery		470,000
	Gain on Sale		57,500

Problem #2 – (60 points, 30 @ 2 points each account and amount, no points for date)

Date	Accounts	Debit	Credit
Jan. 12	Account Receivable – King	50,000	
	Sales Revenue		50,000
Feb. 11	Cash	30,000	
	Account Receivable – King		30,000
Feb. 1	Note Receivable – King	20,000	
	Account Receivable – King		20,000
April 23	Account Receivable	20,150	
	Interest Revenue ($\$20,000 \times 4.5\% \times 60/360$)		150
	Note Receivable – King		20,000
May 15	Allowance for Uncollectible Accounts	20,150	
	Account Receivable		20,150
June 10	Accounts Receivable	20,150	
	Allowance for Uncollectible Accounts		20,150
June 10	Cash	20,150	
	Accounts Receivable		20,150

Problem #3 – (45 points, 5 points each answer)

Current Ratio	1.04
Account Receivable Turnover Ratio	6.10
Inventory Turnover Ratio	6.46
Asset Turnover Ratio	0.67
Debt-to-Equity Ratio	2.45
Times Interest Earned Ratio	6.91
Return on Total Assets	1.45%
Return on Stockholders' Equity	6.2%
Price -Earnings Ratio	19.05